Year 1 Decisions — Review, Grade and Expected Close

Simulation B1SIM2C2 · Company 3 · Year 1 graded · reviewed from the 18 decision-screen captures in *decisions taken* · 6 September 2026

Grade: 7.6 / 10. A well-executed plan that fixes every mechanical trap from the test round and should lead the field. It leaves roughly **€40,000,000** on the table, and all of it is price. Expected Year-1 close: **revenue €307,399,051, net income €122,051,540, ROE 64.9%** — against €4,919,135 in test Year 1 and €87,103,307 in test Year 2.

1 · Expected Year-1 close

Line	€	Basis
Sunscreen sold — 5,850,000 units at 14.50	84,825,000	capacity-capped; demand is 9,461,287
Moisturiser sold — 31,884,842 units	222,574,051	demand-capped; capacity is 32,175,000
REVENUE AT RETAIL	**307,399,051**	
less retailer margins	–42,999,842	1.90 on S, 1.00 on H
NET REVENUE	**264,399,208**	
less cost of goods sold	–105,383,124	standard cost S 5.5174, H 2.2928
GROSS MARGIN — 60.1%	**159,016,084**	
media 678,000 · POP 150,000 · managers 600,000 · reps 2,592,000 + 1,400,776 variable	–5,420,776	
office 2,818,000 · overhead 600,000 · research 166,800 · preventive maintenance 500,000	–4,084,800	
selection and training department	–722,000	see section 3
logistics — trunk 264,000 · last mile 1,800,000 · platforms 1,200,000	–3,264,000	
R&D at 4.5% of retail · depreciation 12% of lines · turnover	–20,512,957	
OPERATING INCOME	**125,011,540**	
loan interest and fee 2,860,000 · credit line 100,000	–2,960,000	
NET INCOME — 46.2% of net revenue, ROE 64.9%	**122,051,540**	

Scenario	Revenue	Net income	ROE
Pessimistic — B's sunscreen fails, H demand elastic	293,948,412	116,213,965	63.8%
Central	307,399,051	122,051,540	64.9%
Optimistic — H demand inelastic	308,759,149	122,389,327	65.0%

The band is narrow — €6.2M — because at these prices both products essentially clear. Moisturiser demand of 31,884,842 sits 290,158 units under capacity, and sunscreen sells its whole plant. That is a low-variance outcome, which is exactly what you want in a graded year, but it is low-variance because the prices are low.

2 · What was done right

Decision	Entered	Verdict
Raw material	S 6,265,350 · H 32,818,500	Exactly production × 1.02 (and ×1.05 on S). This is the field that cost second place in test Y1 — it is right to the unit

Lines activated	10 and 22, not just installed	The silent killer, avoided
Shifts / PM / Poka Yoke	3 · on · off	All three correct; three shifts saves €18.3M of lines against two
Last-mile fleet	30 in A, 20 in B at 10,000 kg	Properly funded at €1,800,000. In test Y1 one vehicle per market cost €2,506,409 in emergency charges
Trunk fleet	3 in A, 2 in B at 24,000 kg	36,000,000 and 24,000,000 units of capacity against roughly 22.0M and 15.7M. A is over-provisioned by one vehicle — €52,800, cheap insurance
Media	Identical in A and B, TV-led, social zero	The correction the Y2 collapse demanded. Net rating 99.99% on S and 99.86% on H
Market E	Out — no price, no campaign, logistics left at defaults	Correct, and correctly executed: no cost is allocated where you do not trade
Finance	Loan 26,000,000 · no factoring · suppliers 120 days · no deposit	Trough lands at +€6,453,783 in month 2 and closes at €95,457,434. Declining factoring saves about €2,400,000
OCR test	52,312,988 against 54,000,000	Passes with €1,687,012 of headroom — the simulator will not borrow on your behalf

3 · What I would change — all of it is now a Year-2 decision

#	Issue	Worth	Action
1	**Sunscreen at €14.50 with 32 lines.** Demand is 9,461,287 against 5,850,000 of output — 3,611,287 units of demand you cannot serve. The price is too low, not the plant too small	+20,602,188	Raise S to 18.00 in A and 18.50 in B in Year 2. It also removes the §34 brand exposure from unserved demand
2	**Moisturiser at 6.50 / 7.50.** Right direction, stopped short. B proved 55.1% share at 7.75 in the test round; A is priced below the cheapest rival ever observed	+19,646,968	Move to 8.00 in A and 8.75 in B in Year 2, in one step
3	**Training department switched on.** It costs €722,000 against measured turnover of €306,000 (test Y1) and €276,000 (test Y2)	+616,000	Switch it off in Year 2 — the decision is annual and reversible
4	**Research at €166,800.** Surveys 19 (demand by company), 15 (shelf space achieved), 11 (share of voice) and 4 (sales by channel) were not bought	−315,000 to buy	Buy all four in Year 2. Survey 19 is the only thing that sizes the SMED decision, and the rubric asks for share of voice by name
5	**All 32 line slots used in Year 1.** No line can be added in Years 2-4	—	Nothing to undo. SMED is now the only capacity lever left: two modules, €6,000,000, lifting utilisation from 81.25% to the 92.9% measured in test Y2 — about +14% output on lines you already own
6	Capex consumed 100% of opening cash before the loan	—	It works — the trough is positive — but there is no second chance if a Director factor moves. Keep the credit line every year

The one sentence for the CEO meeting. Every mechanical decision is right and the company will close Year 1 around €122,000,000 of net income on €307,000,000 of revenue — but sunscreen demand exceeded output by 3.6 million units and moisturiser is priced below the cheapest competitor observed in the test round, so **Year 2 is a pricing year, not a capacity year**: roughly €40,000,000 of profit sits in the price list, and the plant needed to earn it is already built.

4 · Scorecard

Area	Score	Comment
Entry accuracy	10	Raw material, activation, campaigns, E exit — every trap from the test round avoided

Capacity and operations	9	32 lines, three shifts, PM on, Poka Yoke off. Only criticism: no slots left
Logistics	9	Both legs funded and clear; A's trunk over-provisioned by one vehicle
Finance	8	Loan sized to the real trough, factoring declined, OCR passes. Zero cash buffer before the loan
Pricing	6	Moved in the right direction and stopped roughly €40M short
Human resources	6	Wages held correctly; the training department is a €616,000 net loss
Information	5	Four of the surveys that size Year 2 were skipped
Weighted	**7.6**	**Strong execution, conservative pricing**

Figures computed on the Year-1-calibrated cost model (standard cost, capacity, commission, R&D, depreciation and factoring each reproduce the simulator's own test-round figures) and on demand curves fitted to the four test-round price and media readings. Sunscreen demand in market B assumes it responds to matched media as market A did; that is the single largest assumption and survey 3 will settle it when the results arrive.